

MUNICIPAL DIMENSIONS OF PUBLIC SECTOR ECONOMIC OPERATIONS

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The stage of market economy formation and development in Georgia necessitates those economists address fundamentally new issues concerning the functioning of the public sector within the national economy.

The theory of the public sector is experiencing “growing pains,” reflected in a lack of systematic structure, conceptual ambiguity, and occasional terminological confusion. The term “public sector” lacks a clear, universally accepted definition, and the definitions proposed in academic literature are often inconsistent or difficult to reconcile. For instance, different sources use terms such as “public sector,” “state sector,” “non-market sector of the economy,” “social sector,” and others—highlighting the conceptual disparity.

An analysis of public sector definitions in the economic literature reveals that the central focus is on the state as a subject of economic relations, particularly its ownership and finances. Moreover, this aspect of the public sector is widely discussed in the works of many economists.¹

According to Nobel laureate J. Stiglitz, the public sector is a set of economic resources under the control of the state.²

L. I. Jacobson offers the following definition of the public sector: “The set of resources directly at the disposal of the state constitutes the public (state) sector of the economy. The public sector is not limited to state enterprises and institutions. The state manages the economy on behalf of its citizens and in accordance with their mandate. That is why the state sector of a market economy is considered public.”³

The public sector of the economy typically produces public goods. Unlike private goods, public goods can be consumed by everyone simultaneously, without any restrictions. It is important to note that public goods benefit all members of society. There is neither a moral nor a technical means to limit others from consuming them.

Given the significance of the public sector, it is useful

to examine it from the perspective of local self-government. According to the Local Self-Government Code of Georgia, local self-government is the right and opportunity of Georgian citizens registered in a self-governing unit to address issues of local importance through elected local self-government bodies, in accordance with Georgian legislation (Article 2, Paragraph 1).

Local self-government, first and foremost, involves the right of the local community to determine the key parameters of its own life. These parameters include the provision of public goods.

The economy of a municipality (self-governing unit) has several distinctive features. It is not merely a collection of enterprises located within the municipality. It includes municipal services and enterprises that produce public goods, as well as businesses that operate according to the principles of a market economy.

The municipal economy is primarily oriented toward the production of public goods. In fact, the main responsibility of municipal government is to ensure the delivery of these goods. This represents a fundamentally different category of economic activity—one that is built on a unique foundation.

The municipal economy refers only to that part of the broader “economy within the municipality” that is connected in some way to the production of public goods. As such, analyzing the public sector of a municipality’s economy requires a nuanced and thoughtful approach.

Throughout human history, a central theme in the political development of society has often been the tension between the authority of the state and the autonomy of city governance. This historical dynamic underscores the fact that municipal government is not state government—it is the self-governance of citizens.

Civil society has its roots at the municipal and city levels. It is at this local level that citizens are most directly aware of their needs and can influence the course of events. However, in our country, this simple truth is

1 Веттерберг Г. Новое общество. О возможностях общественного сектора / Г. Веттерберг. М., 1999. С.62.

2 Стиглиц Дж.Ю. Экономика государственного сектора: пер. с англ. / Дж. Ю. Стиглиц. М., 1997. С. 18

3 Якобсон Л.И. Государственный сектор экономики: экономическая теория и политика: учебник для вузов /Л.И. Якобсон. М., 2000. С 24

still difficult for many citizens to fully grasp, often becoming a major obstacle to the development of local self-government.

The primary task of local self-government is not to develop the general economy within the municipality, but to develop the municipal economy specifically. This includes education, healthcare, essential public services, and—according to a long-standing tradition—social care or “shelter for the weak.” All of these areas are inherently depoliticized; they are focused on meeting the basic needs of citizens. For this reason, they are most effectively managed at the level closest to the people.

According to the liberal approach, the state should not impose overarching economic goals on society. Economic policy should not compel society to pursue forced industrialization or, conversely, a return to agrarianism. Determining strategic directions for development is the prerogative of society itself. The same principle applies to local self-government: it is not solely the responsibility of municipal leadership to dictate which industries should be established within its territory and which should be excluded.

From the point of view of the research, five primary goals of economic policy can be identified at the municipal level:

First, ensuring a high level of employment for residents. To achieve this, municipal authorities should attract businesses that require a large workforce. Restrictions may only be justified in cases involving environmental concerns or the need to preserve the existing employment structure (e.g., focusing solely on the service sector or scientific activities).

Second, securing the highest possible incomes for the population. This involves supporting the creation of jobs associated with higher wages.

Third, creating a wide variety of social roles. It is essential to foster conditions that prevent residents from feeling the need to relocate in order to achieve personal or professional fulfillment. A partial solution to this issue may include optimizing the local housing system.

Fourth, ensuring the sustainability of the municipality's economy. On one hand, it may appear beneficial for a municipality to have a “leading enterprise” around which the entire infrastructure is centered. Such an en-

Assessment of the Implementation of Powers by the Kutaisi Municipality Table 1

N	The form of one's own authority	Very Bad	Bad	Good	Very Good	Do not have answer	Not Using
1	Management of the natural resources (including land, water and forest resources) of the locality in accordance with the procedure established by law	5%	35%	47%	3%	5%	5%
2	Improvement of the municipal territory and development of relevant engineering infrastructure	0%	44%	35%	10%	8%	3%
3	Cleaning of streets, parks, squares and public places in the municipal territory	3%	24%	50%	10%	8%	5%
4	Landscaping of the territory	8%	34%	32%	8%	15%	3%
5	Providing outdoor lighting	10%	3%	66%	18%	3%	0%
6	Water supply	18%	10%	57%	15%	0%	0%
7	Development of a local land reclamation system	5%	10%	36%	2%	27%	20%
8	Solid (household) waste collection and disposal	15%	18%	42%	20%	5%	0%
9	Creation of pre-school and out-of-school education institutions in the municipal administration and ensuring their functions	5%	5%	62%	10%	10%	8%

N	The form of one's own authority	Very Bad	Bad	Good	Very Good	Do not have answer	Not Using
10	Management of local highways and organization of traffic on roads	8%	42%	20%	5%	25%	0%
11	Providing parking spaces for parking lots, regulating parking/stopping rules	15%	59%	13%	0%	5%	8%
12	Organizing municipal transport services for the population	8%	10%	64%	8%	5%	5%
13	Regulation of outdoor trade, exhibitions, markets and fairs	17%	44%	8%	5%	23%	3%
14	Regulation of outdoor advertising placement	8%	13%	54%	3%	17%	5%
15	Cemeteries arrangement and maintenance	10%	25%	27%	8%	25%	5%
16	Preservation, reconstruction and rehabilitation of monuments of local significance	3%	10%	34%	15%	35%	3%
17	Ensuring the functioning of libraries, clubs and institutions, cinemas, museums, theaters, exhibition halls and sports and recreation facilities and construction of new facilities	5%	34%	40%	8%	13%	0%
18	Development of appropriate infrastructure for persons with disabilities. Provision of appropriate adaptive equipment for public gathering places and municipal transport.	20%	15%	22%	15%	18%	10%
19	Providing shelter and registration for the homeless	10%	32%	20%	3%	22%	13%

terprise serves as a major taxpayer and employer (e.g., JSC “Chiaturmanganumi” for the municipalities of Zestaponi and Chiatura). On the other hand, economic crises or the introduction of new “rules of the game” can lead to significant socio-economic challenges.

Fifth, the task of environmental protection. At times, citizens of the municipality become frustrated with large enterprises, demanding that authorities curb the municipality’s growth or prevent the establishment of businesses that offer low-wage jobs to the local labor market.

The Local Self-Government Code of Georgia defines

the exclusive powers of a municipality (self-governing unit) (Article 16). According to this law, the scope and procedures for implementing a municipality’s powers can only be determined through a legislative act.

In November-December 2024, we conducted a survey (see Table 1) in the Kutaisi Municipality to assess the implementation of its exclusive powers. A total of 100 citizens with various statuses were interviewed.

The results of the survey are as follows:

1. The population expressed the highest satisfaction (rated “very good”) with services such as: “Collection and removal of solid (household) waste”

(20%), "Provision of outdoor lighting" (18%), as well as "Greening of the territory," "Water supply," "Maintenance, reconstruction, and rehabilitation of cultural monuments of local importance," and "Development of appropriate infrastructure for people with disabilities, including the adaptation and equipment of public gathering places and municipal transport" (15-15%). However, it is important to note that only 15-20% of the population gave the highest rating to these services.

2. The assessment "good" received a high percentage in areas such as: "Provision of outdoor lighting" (66%), "Water supply" (57%), "Organization of municipal transport services for the population" (64%), and "Creation of pre-school and out-of-school education institutions managed by the municipality and ensuring their functioning" (62%).

3. The assessment "very bad" was recorded in areas such as: "Water supply," "Collection and disposal of solid (household) waste," "Regulation of foreign trade, exhibitions, markets, and fairs," and "Development of appropriate infrastructure for persons with disabilities, including the adaptation and equipment of public gathering places and municipal transport" (15-20%).

4. The situation was rated "bad" in the areas of: "Providing parking spaces for motor vehicles, regulating standing/stopping rules" (59%), "Regulating foreign trade, exhibitions, markets, and fairs" (44%), "Improving the municipality's territory and developing relevant engineering infrastructure" (44%), and "Managing local roads and organizing traffic on roads" (42%).

We believe that the results of the survey provide an

objective view of the city's situation, and we generally agree with the citizens' assessments. In the context of high financial centralization, where only revenue from the most difficult-to-collect tax—property (land) tax—remains fully within the municipal budget, while funds from all other taxes are directed to the central budget, the financial flexibility of local self-government is severely limited. Otherwise, the actual picture of public wealth production by local authorities would likely be much more positive.

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